💰 Economics — Master File (Micro + Macro) · SSC CGL

> **The single consolidated Economics resource** — basic concepts, National Income, inflation, RBI & monetary policy, banking, budget & taxation, with PYQ question-types, curated & new questions. 🟡 Medium weight, but **high-return** (small, learnable syllabus) per the PYQ Blueprint.

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1. How SSC Asks Economics (PYQ Types)

PYQs are the blueprint. Don't over-read the news — SSC recycles these shapes:

Type	Example stem	Prep
Definition/term	"Stagflation means —"	Inflation & terms (§4)
RBI tool	"Rate at which RBI lends to banks —"	Monetary tools (§5)
Which body / who	"First RBI Governor —", "HDI published by —"	§5, §7
Direct vs Indirect tax	"GST is a —"	Taxation (§7)
Formula/relation	"GNP − depreciation = —"	National income (§3)
Year/first	"Bank nationalisation year —"	Banking (§6)

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2. Basic Concepts (Micro & Macro)

- **Economics** = study of allocating scarce resources. **Microeconomics** (individual units — demand, price, firm) vs **Macroeconomics** (aggregates — GDP, inflation, national income).
- **Types of economy:** Capitalist (market), Socialist (state), **Mixed (India — public + private)**.
- **Factors of production:** Land, Labour, Capital, Entrepreneurship.
- **Sectors:** Primary (agriculture, mining) · Secondary (manufacturing) · **Tertiary (services)** — largest share of India's GDP.

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3. National Income & GDP

- **GDP** = market value of all final goods & services produced **within a country** in a year.
- **GNP = GDP + net factor income from abroad.**
- **NNP = GNP − depreciation.** · **National Income = NNP at factor cost.**
- Per Capita Income = National Income / Population.
- GDP at Factor Cost = MP − indirect taxes + subsidies.
- Released by the **NSO (National Statistical Office)** under **MoSPI**; base year **2011–12**.
- National income methods: income, output, expenditure (NOT "sum of savings").

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4. Inflation

- **Inflation** = sustained rise in the general price level (money loses purchasing power).
- **Demand-pull** (too much demand) vs **Cost-push** (rising input costs).
- Measured by **WPI** (wholesale) & **CPI** (retail — **RBI targets CPI**).
- **Deflation** = falling prices · **Disinflation** = falling *rate* of inflation · **Stagflation** = inflation + stagnation/unemployment.
- **RBI's CPI inflation target: 4% (±2%)** → i.e. 2–6%.

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5. RBI & Monetary Policy

- **RBI established 1 April 1935** (RBI Act 1934); **nationalised 1949**; HQ **Mumbai** (initially Calcutta).
- **First Governor:** Sir Osborne Smith · **First Indian Governor:** C. D. Deshmukh.
- Functions: central bank · **sole issuer of currency** (except ₹1 note & coins → Ministry of Finance) · banker to government · banker's bank · **lender of last resort** · credit controller · forex manager (FEMA).
- **Monetary Policy Committee (MPC)** — 6 members — sets the repo rate.

Quantitative tools:

Tool	Meaning
Repo Rate	RBI lends to banks (against securities)
Reverse Repo	RBI borrows from banks (**Repo > Reverse Repo** always)
CRR	% of deposits kept **in cash with RBI**
SLR	% of deposits kept in **liquid assets (gold, govt securities)** by the bank
Bank Rate, MSF, OMO	Other tools

> To **control inflation** → RBI **raises** repo/CRR/SLR (tight money).

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6. Banking

- First bank of India: **Bank of Hindustan (1770)** · **SBI formed 1955** (from Imperial Bank).
- **Bank nationalisation: 14 banks in 1969**, 6 more in 1980 (Indira Gandhi).
- **NABARD (1982)** — apex for agriculture/rural · SIDBI — small industry · EXIM — export-import.
- **SEBI** established 1988 (statutory 1992) · **Decimal currency** adopted 1957 · **MSP** introduced 1974.

- Scheduled (2nd Schedule of RBI Act) vs Non-Scheduled; Commercial, Cooperative, RRBs, Payment Banks, Small Finance Banks.
- **NPA** = Non-Performing Asset (loan overdue 90+ days).

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7. Budget, Taxation & Planning

- **Union Budget** = Annual Financial Statement (**Art. 112**); presented **1 February**.
- **Fiscal Deficit** = Total Expenditure − Total Receipts (**excluding borrowings**).
- Revenue Deficit = Rev Exp − Rev Receipts · Primary Deficit = Fiscal Deficit − Interest.
- **Direct taxes** (Income Tax, Corporate Tax — paid by bearer) vs **Indirect taxes** (GST, Customs — shifted to consumer).
- **GST** implemented **1 July 2017** (**101st Amendment**); "One Nation, One Tax"; **CGST, SGST, IGST**.
- **Finance Commission (Art. 280)** — tax distribution Centre↔States.
- **NITI Aayog (2015)** replaced the **Planning Commission (1950)**. Five-Year Plans (1951–2017; 12). 1st → Harrod-Domar model; 2nd → Mahalanobis; **5th → "Garibi Hatao"**.
- **HDI** (UNDP): life expectancy + education + per-capita income. Gini Coefficient → income inequality.

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8. Curated PYQ-Pattern Questions

Q1. RBI was established in — (a) 1934 (b) **1935** (c) 1949 (d) 1955

Q2. HQ of the RBI — (a) New Delhi (b) Kolkata (c) **Mumbai** (d) Chennai

Q3. Rate at which RBI lends to banks — (a) Bank Rate (b) **Repo Rate** (c) Reverse Repo (d) SLR

Q4. GST was implemented on — (a) 1 Apr 2017 (b) **1 Jul 2017** (c) 1 Jan 2017 (d) 1 Feb 2018

Q5. Which is a direct tax — (a) GST (b) Customs (c) **Income Tax** (d) Excise

Q6. High inflation + stagnation — (a) Deflation (b) Disinflation (c) **Stagflation** (d) Reflation

Q7. NABARD is associated with — (a) Industry (b) **Agriculture & rural dev** (c) Foreign trade (d) Insurance

Q8. CRR is maintained with the — (a) Government (b) SBI (c) **RBI** (d) NABARD

Q9. GNP − depreciation = — (a) GDP (b) **NNP** (c) National Income (d) Per Capita Income

Q10. Bank nationalisation first took place in — (a) 1955 (b) **1969** (c) 1980 (d) 1991

Q11. NITI Aayog replaced — (a) Finance Commission (b) **Planning Commission** (c) RBI (d) SEBI

Q12. Fiscal deficit excludes — (a) taxes (b) **borrowings** (c) subsidies (d) interest

Q13. RBI primarily targets which index — (a) WPI (b) **CPI** (c) IIP (d) Sensex

Q14. Largest share of India's GDP — (a) Primary (b) Secondary (c) **Tertiary** (d) Quaternary

Q15. Budget is presented under which Article — (a) 110 (b) **112** (c) 280 (d) 360

Q16. First Governor of RBI — (a) C.D. Deshmukh (b) **Osborne Smith** (c) Rama Rau (d) Rajan

Q17. Repo Rate is decided by — (a) Board of Directors (b) **MPC** (c) Finance Ministry (d) SEBI

Q18. GST is which type of tax — (a) Direct (b) **Indirect** (c) Wealth (d) Corporate

Q19. HDI is published by — (a) World Bank (b) IMF (c) **UNDP** (d) WTO

Q20. SLR is maintained as — (a) cash with RBI (b) **liquid assets (gold, govt securities)** (c) forex (d) loans

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9. Freshly-Created Practice Questions

New questions in the SSC pattern; answer key at the end.

N1. SEBI was established in the year —

(a) 1988 (b) 1992 (c) 1969 (d) 2015

N2. The base year currently used for GDP calculation in India is —

(a) 2004–05 (b) 2011–12 (c) 2015–16 (d) 2001–02

N3. "Garibi Hatao" was the slogan of which Five-Year Plan?

(a) Second (b) Third (c) Fifth (d) Ninth

N4. The first Indian Governor of the RBI was —

(a) Osborne Smith (b) C. D. Deshmukh (c) Benegal Rama Rau (d) Raghuram Rajan

N5. Which one is NOT a method of calculating national income?

(a) Income method (b) Output method (c) Savings method (d) Expenditure method

N6. The RBI's CPI inflation target band is —

(a) 2–4% (b) 4% ± 2% (c) 5% ± 1% (d) 3–5%

N7. The one-rupee note is issued by the —

(a) RBI (b) SBI (c) Ministry of Finance / Government of India (d) NABARD

N8. GST was introduced by which Constitutional Amendment?

(a) 100th (b) 101st (c) 103rd (d) 86th

N9. The apex bank for agriculture and rural development is —

(a) SIDBI (b) EXIM Bank (c) NABARD (d) SBI

N10. Primary deficit equals fiscal deficit minus —

(a) borrowings (b) interest payments (c) subsidies (d) revenue receipts

Answer Key (Section 9):

N1-(a) 1988 · N2-(b) 2011–12 · N3-(c) Fifth · N4-(b) C. D. Deshmukh · N5-(c) Savings method · N6-(b) 4% ± 2% · N7-(c) Ministry of Finance · N8-(b) 101st · N9-(c) NABARD · N10-(b) interest payments

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10. Rapid Revision Sheet

- RBI est. 1 Apr 1935; HQ Mumbai; nationalised 1949 · First Gov Osborne Smith; first Indian C.D. Deshmukh
- Repo > Reverse Repo · CRR → cash with RBI · SLR → liquid assets · RBI targets CPI 4% (±2%)
- GDP base year 2011-12 (NSO/MoSPI) · GNP = GDP + net foreign income · NNP = GNP − depreciation

- Stagflation = inflation + stagnation · GST 1 Jul 2017 (101st Amdt; CGST/SGST/IGST)
- Direct tax → income/corporate · Indirect → GST/customs
- Bank nationalisation 1969 (14) & 1980 (6) · NABARD 1982 · SEBI 1988 · decimal currency 1957 · MSP 1974
- NITI Aayog 2015 (replaced Planning Commission) · Budget → Art.112 · Finance Commission → Art.280
- Fiscal Deficit = Total Exp − Total Receipts (excl. borrowings) · Primary Deficit = Fiscal − interest
- HDI → UNDP · services (tertiary) → largest GDP share · "Garibi Hatao" → 5th Plan

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